



MEMORANDUM

TO: Honorable Mayor Patrick Collins and City of Cheyenne Council Members
FROM: Robin Lockman, City Treasurer
DATE: March 7, 2022
SUBJECT: Professional Services Agreement with MHP to Audit Annual Financial Statements

On March 14, 2022, the Governing Body will be referring to the Finance Committee a Professional Services Agreement between the City of Cheyenne, Cheyenne Board of Public Utilities, and McGee, Hearne & Paiz (MHP) LLP to perform the annual fiscal year 2022 audit.

The cost to the City of Cheyenne for the financial and compliance audit is \$71,125 plus \$12,875 to draft the report, including footnote disclosures and related supplementary information, for a total of \$84,000. This is an increase of \$3,000, or 3.7%, over the fiscal year 2021 audit cost.

The City Treasurer's office will be conducting a Request for Proposals for fiscal years 2023-2025 audit services in December.

As always, if you have any questions, please give me a call at 637-6336 or email at rlockman@cheyennecity.org.

City Contract # _____

PROFESSIONAL SERVICES AGREEMENT

to

Audit the Annual Financial Statements of the City of Cheyenne
And its Board of Public Utilities

THIS AGREEMENT is made and entered into this _____ day of _____, 2022, by and between the City of Cheyenne (“City”), the City of Cheyenne Board of Public Utilities (“Board”), and McGee, Hearne & Paiz LLP (“Firm”).

Whereas, the City and the Board require professional services to audit their annual financial statements; and

Whereas, the Firm is qualified to provide such audits and has previously audited the City and Board for the fiscal years ending June 30, 2019, 2020 and 2021; and

Whereas, the Firm has submitted a letter dated February 11, 2022 proposing to continue to provide financial and compliance auditing services to the City and Board for the fiscal years ending June 30, 2022, a copy of which letter is attached to this Agreement as Exhibit A and incorporated by this reference; and

Whereas, Exhibit A allocates fees for the Firm’s proposed services between the City and Board; and

Whereas, the Firm also agrees, at the City’s option, to draft the City’s annual financial and compliance report for an additional fee to be paid by the City; and

Whereas, the City and Board desire to employ the Firm subject to the terms and conditions of this Agreement;

Now therefore, in consideration of the mutual covenants and obligations herein expressed, it is agreed by and between the parties as follows:

1. SCOPE OF SERVICES

The Firm agrees to provide services as described for the above-mentioned project, in accordance with the Scope of Services attached hereto as Exhibit A, incorporated by reference and expressly made a part hereof.

2. COMPENSATION

- a. In consideration of the services to be performed pursuant to this Agreement, the City and Board agree to pay the Firm the costs set forth in Exhibit A. The Firm shall bill the City and Board separately. Upon acceptance and approval of the work by the City

or the Board, the City and the Board respectively shall make payment therefor within 45 days of receipt of said invoice.

- b. With every periodic invoice, the Firm shall provide the City and the Board, respectively, with a written statement of the status of the work with respect to the Scope of Services, time sheets, and work schedule. Payment shall be based upon actual time worked and direct expenses. The Firm shall maintain records supporting time worked and direct expenses and shall make those records available to the City or Board at their request during normal business hours any time after contract execution and before one year after the date of final payment.
- c. In the event total fees billed by the Firm for a fiscal year to either the City or the Board meet the quoted limits specified in Exhibit A for that fiscal year, and the work required of the Firm for that fiscal year has not been completed, the Firm shall remain obligated to complete said work in its entirety.

3. TERM AND EFFECTIVE DATE

This Agreement shall commence on the date the last required signature is attached hereto and shall continue in full force and effect until the scope of services is completed and any documents are submitted to the City or the Board in accordance with Exhibit A, unless this Agreement is earlier terminated pursuant to Sections 19 and 20 herein. This Agreement may be extended upon agreement of the parties.

4. MODIFICATION

Any changes, modifications, revisions, amendments or extensions to this Agreement which are mutually agreed upon by the parties to this Agreement shall be incorporated by written instrument, executed and signed by all parties to this Agreement.

5. INDEMNIFICATION / HOLD HARMLESS

The Firm agrees to indemnify, hold harmless and defend the City or the Board from and against any and all liabilities, claims, penalties, forfeitures and suits, and the cost and expenses incident thereto, including reasonable attorney's fees, which may hereafter arise as a result of death or bodily injury to any person, destruction or damage to any property, contamination of or adverse effects on the environment, or any violation of governmental laws, regulations or orders to the extent caused by (1) the Firm's breach of any term or provision of this Agreement; or (2) any negligent or wrongful act, error or omission by the Firm, or its employees or subcontractors in the performance of this Agreement. The Firm acknowledges that it may incur a financial obligation to the City or the Board pursuant to the terms of this paragraph.

6. GOVERNMENTAL IMMUNITY

The City, the Board, their officials and employees, do not waive their governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City and Board specifically retain all immunities and defenses available to them as sovereign or governmental entities pursuant to Wyo. Stat. § 1-39-101, *et seq.*,

and all other relevant state and federal law. Designations of venue, choice of law, enforcement actions, and similar provisions should not be constructed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

7. **INSURANCE REQUIREMENTS**

The Firm shall provide the City and the Board with proof of the following insurance coverages:

Commercial General Liability Insurance

For claims arising out of bodily injury, illness or death, or from damage to or destruction of property of others, including loss or use thereof, with minimum limits of \$1,000,000 per occurrence, \$2,000,000 aggregate for the entire term of the Agreement.

Business Automobile Insurance

Including owned, non-owned and hired vehicles with minimum limits for bodily injury and property damage of \$1,000,000 per accident for the entire term of the Agreement

Workers' Compensation

Workers' compensation coverage shall be in effect for the entire term of the Agreement, as required by Wyoming law, for all employees or agents providing services under this Agreement. The Firm shall provide the City and the Board with proof of workers' compensation or employer's liability insurance coverage.

Professional Liability Insurance

The Firm shall provide proof of professional liability insurance or errors and omissions liability insurance in an amount not less than \$500,000 to protect the City and the Board from any and all claims arising from the Firm's negligence in the performance of duties under this Agreement. The City and the Board prefer that this liability insurance coverage be provided pursuant to an "occurrence" policy.

If this coverage is provided pursuant to a "claims made" policy:

- a. The Firm shall, concurrently with the execution of this Agreement, provide the City and the Board with a certificate of insurance demonstrating that such coverage is or shall be in effect at the time the Firm begins the provision of services under this Agreement; and
- b. In the event the Firm's services extend into a future policy period, the Firm shall, prior to the policy expiration date, provide the City and the Board with a new certificate of insurance demonstrating that such coverage is or shall be in effect during all periods of time that the Firm will provide services under this Agreement; and
- c. The Firm shall maintain said "claims made" coverage for a period of five (5) years following the last date that the Firm has provided services under this Agreement; and

- d. In the event the Firm or the insurer terminates “claims made” coverage prior to the expiration of the periods provided in subparagraphs a., b., or c. of this paragraph, the Firm shall provide to the City and the Board advance written notification of the termination of said coverage and shall provide the City and the Board with an endorsement for an extended reporting period (“tail coverage”) which shall be in effect for a period of time not less than five (5) years following the last date that the Firm has provided services under this Agreement.

Additional Insurance Information

The Firm shall name the City and the Board as **an Additional Insured** by endorsement on its insurance policies and shall provide the City and the Board with a copy of the endorsements. This requirement does not apply to workers’ compensation and professional liability insurance policies.

The Firm shall provide the City and the Board with certificates of insurance acknowledging the above-stated coverages prior to beginning any work under this Agreement.

It is understood and agreed that these policies are primary and not contributory. All policies required under this Agreement shall be in effect for the duration of the Agreement. It shall be an affirmative obligation upon the Firm to immediately notify in writing the City and the Board of any fact, circumstance, or occurrence that has resulted in or may result in the cancellation of, or substantive change to any insurance coverage required by this Agreement, and failure to do so shall be construed to be a breach of this Agreement.

If requested by the City or the Board, the Firm shall provide the City or Board, respectively, with copies of insurance policies and/or policy endorsements listing the City and the Board as an additional insured. The City’s or Board’s failure to request or review such policies, endorsements, or certificates shall not affect the City’s or Board’s rights or the Firm’s obligation hereunder.

Any insurance company providing coverage under this Agreement shall have a minimum A. M. Best rating of A- (excellent).

8. GOVERNING LAW, JURISDICTION AND VENUE

The construction, interpretation and enforcement of this Agreement shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over any action arising out of this Agreement and over the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming.

9. COMPLIANCE WITH LAWS

The parties agree that they will perform their obligations as provided in this Agreement in accordance with all applicable laws and ordinances.

10. NON-DISCRIMINATION

The Firm shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (Wyo. Stat. § 27-9-105, *et seq.*), the Americans With Disabilities Act (ADA), as amended, 42 U.S.C. § 12101, *et seq.*, and the Age Discrimination Act of 1975 and any properly promulgated rules and regulations thereto, and shall not discriminate against any

individual on the grounds of age, sex, creed, color, race, religion, national origin, ancestry, pregnancy or qualifying disability in connection with the performance under this Agreement.

11. ALCOHOL AND DRUG-FREE WORKPLACE

In compliance with the Drug Free Work Place Act of November 1988, the City and Board have established an Alcohol and Controlled Substance Policy that pertains to alcohol and drug usage by City and Board employees. All parties under contract with City or Board, and their employees and subcontractors, are required to comply with the provisions of the City's and Board's Alcohol and Controlled Substance Policy for drug and/or alcohol usage on City or Board property or other sites occupied by the Firm while performing the duties and responsibilities of the Agreement. It is the responsibility of the Firm to familiarize themselves with the requirements of this policy and to inform all their employees and subcontractors of the requirements and ensure their compliance. If the Firm, their employees or subcontractors are found in violation of this policy, the Agreement may be terminated.

12. INDEPENDENT CONTRACTOR

The Firm shall function as an independent contractor for the purposes of this Agreement. The Firm shall assume sole responsibility for any debts or liabilities that may be incurred by the Firm in fulfilling the terms of this Agreement. Nothing in this Agreement shall be interpreted as authorizing the Firm or its agents or employees to act as an agent or representative of or on behalf of the City or the Board or to incur any obligation of any kind on the behalf of the City or the Board.

13. CONFIDENTIALTY

To the extent allowed by law, the City, the Board, and the Firm shall treat as confidential and not disclose to others information (including technical information, experience or data) regarding either party's plans, programs, plants, processes, products, costs, equipment, operations, or customers which come within the knowledge of the parties, without in each instance securing the prior written consent of the other party, unless such disclosure is required by law or legal process. However, nothing shall prevent either the Firm, the City, or the Board from disclosing to others or using in any manner information which either party can show (a) has been published or has become part of the public domain other than by acts of the parties; (b) has been furnished or made known to the parties by third parties without restrictions on its disclosure; or (c) was in either party's possession prior to the disclosure thereof by the parties to each other. No party shall be restricted from releasing information in response to a subpoena, court order, or legal process, but, in the event such disclosure becomes necessary, the disclosing party shall notify the other party of the demand for information at least seven (7) days prior to disclosing such information so that the other party may take any and all steps provided by law to prevent the release of such Information.

14. FIRM'S RESPONSIBILITIES

In providing services under this Agreement, the Firm shall perform in a manner consistent with that degree of care and skill ordinarily exercised by members of the same profession

currently practicing under similar circumstances at the same time and in the same or similar locality. Upon notice to the Firm and by mutual agreement between the parties, the Firm will, without additional compensation, correct those services not meeting such a standard.

15. NOTICES

Any notice, correspondence or billing required to be given by the terms of this Agreement shall be delivered by hand, or delivered by mail, postage prepaid, to the addresses of the respective parties stated below:

CITY: Robin Lockman, CPA, City Treasurer
2101 O'Neil Avenue
Cheyenne, WY 82001

BOARD: Brad Brooks, Director
2416 Snyder Avenue
Cheyenne, WY 82001

FIRM: Stephanie Pickering, CPA, Partner
314 West 18111 Street
Cheyenne, WY 82001

16. CONFLICT OF INTEREST

In entering this Agreement, the Firm covenants that it presently has no interest, and shall not acquire any interest, direct or indirect, financial or otherwise, which would conflict in any manner or degree with performance of the services hereunder. In addition, the Firm covenants that in the performance of this contract, no subcontractor or person having such an interest shall be employed. The Firm certifies that no one who has or will have any financial interest under this contract is an officer or employee of the City or the Board.

17. ACCEPTANCE NOT WAIVER

The City's or the Board's approval of reports, and incidental work or materials furnished hereunder shall not in any way relieve the Firm from responsibility for the technical accuracy of the work. The City's or the Board's approval or acceptance of, or payment for, any services shall not be construed to operate as a waiver of any of the City's or the Board's rights under this Agreement or any of its legal rights under statute and common law arising out of the performance of this Agreement.

18. DEFAULT

Each and every term and condition in this Agreement shall be deemed to be a material element of the Agreement. In the event either party should fail or refuse to perform according to the terms of this Agreement, such party may be declared in default.

19. REMEDIES

In the event a party declares the other party in default hereof, said party declaring default shall notify the defaulting party in writing and such defaulting party shall be allowed a period of fifteen (15) days to cure said default. In the event that the default remains

uncorrected, the party not in default may elect to:

- a. Terminate the Agreement and seek damages, which damages shall not exceed the contract amount;
- b. Treat the Agreement as continuing and require specific performance;
- c. Avail itself of any other remedy at law or equity

In the event the Firm fails to strictly perform in accordance with this Agreement, the City or the Board may elect to make good such deficiencies and charge the Firm therefore.

20. TERMINATION

The City or the Board may, by written notice to the Firm, terminate this Agreement in whole or in part by giving the Firm fifteen (15) days written notice. Upon receipt of such notice, the Firm shall:

- a. Discontinue all services affected (unless the notice directs otherwise); and
- b. Deliver to the City or the Board respectively within five (5) days all data, documents, reports, estimates, or summaries, accumulated by the Firm in performing this Agreement, whether completed or in process. In event of termination, the City or the Board will pay the Firm for accepted work done as of the date of termination.

21. WAIVER

The waiver by either party of any term, condition or covenant, or breach of any term, condition or covenant, shall not constitute a waiver of any other term, condition or covenant, or breach thereof.

22. SEVERABILITY

If any provision, section, subsection, sentence, clause, or phrase of this Agreement is invalidated by any court of competent jurisdiction, such holding shall not affect the validity of the remainder of this Agreement, which shall continue in full force and affect.

23. SUCCESSORS AND ASSIGNS

All the terms, conditions, and provisions herein shall inure to the benefit of and be binding upon the parties hereto and their respective successors and assigns.

24. ASSIGNMENT

No party shall assign this Agreement without prior written consent of both parties. Any delegation or assignment shall not operate to relieve either party of its responsibilities hereunder. However, nothing in this Agreement shall prohibit the Firm from subcontracting to a qualified subcontractor.

25. THIRD PARTY RIGHTS

The parties do not intend to create in any other individual or entity the status of third-party beneficiary, and this Agreement shall not be construed so as to create such status. The rights, duties and obligations contained in this Agreement shall operate only between the parties to this Agreement and shall inure solely to the benefit of the parties to this Agreement. The parties to this Agreement intend and expressly agree that only the parties signatory to this Agreement shall have any legal or equitable right to seek to enforce this

Agreement, to seek any remedy arising out of a party's performance or failure to perform any term or condition of this Agreement, or to bring action for breach of this Agreement. This paragraph is not intended nor shall it be construed to waive any of the parties' immunities.

26. ENTIRETY OF AGREEMENT

This Agreement, to include Exhibit A, contains the entire understanding of the parties. There are no other terms or conditions, written or oral, concerning or controlling this matter.

[REST OF THIS PAGE INTENTIONALLY LEFT BLANK]

IN WITNESS WHEREOF, the parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood and agreed to the terms and conditions of this Agreement

City

(SEAL)

Attest:

By: _____

Patrick J. Collins, Mayor

Date: _____

Kristina F. Jones, City Clerk

Board

By: _____

Brad Brooks, Director

Date: _____

State of Wyoming)
County of Laramie) ss.

Subscribed and sworn before me this _____ day of _____, 2022.

Notary Public
My Commission Expires: _____

Firm

By: _____

Stephanie Pickering, CPA, Partner

Date: _____

State of Wyoming)
County of Laramie) ss.

Subscribed and sworn before me this _____ day of _____, 2022.

Notary Public
My Commission Expires: _____